



The Market Map

A market is not a mood and it is not a chart. It is an arrangement: who may trade, in what, against whom, on what terms, with what information, and through which pipes the trade becomes cash. This sheet is the academy's working map. Every later paper hangs on one of these layers.

THE EIGHT LAYERS

1 Structure

Rules that exist before a price: listing, hours, tick size, lot size, who is allowed to make a market, what happens in a halt. Structure is the constitution. Change it and every other layer moves.

2 Participants

Issuers, intermediaries, principals, agents, indexers, hedgers, retail, official accounts. Motive differs. Capacity differs. Time horizon differs. Treating them as one crowd is how people invent a 'market' that does not exist.

3 Instruments

Cash, future, option, swap, fund share, loan. Each is a bundle of rights and a calendar of cash. The instrument is the object. Confusing the object with the story about the object is the first sloppy habit.

4 The book

Displayed size, hidden size, auction versus continuous, last print versus the live bid and offer. The book is the only public statement of willingness to trade now.

5 Liquidity

Tightness, depth, immediacy, resilience. Four measurements, not one adjective. A market can be tight and shallow. It can look deep until you lift it.

6 Risk

What you can lose, how fast, from which source: market, credit, liquidity, operational, model, conduct. Risk is named before a thesis is allowed to stand.

7 Information

What is public, what is delayed, what is private, what is noise. Edge is a claim about information plus the capacity to act on it before the book adjusts.

8 Plumbing

Clearing, settlement, margin, collateral, failed trades, corporate actions. A print that does not become cash is not a completed market event.



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HOW TO USE THE MAP

- Name the layer before you name the opinion. If you cannot say which layer you are talking about, you are not talking about the market.
- When two stories conflict, ask which layer each story lives on. Most arguments are people standing on different floors.
- A change in structure (tick size, close auction, short-sale rule) is not a ‘sentiment’ event. Treat it as a rewrite of the constitution.
- Do not skip plumbing. Settlement failure, margin call, and corporate action have ended more positions than a wrong forecast.

WHAT THIS PAPER IS NOT

It is not a forecast. It is not a list of names to buy. It is not a description of any particular firm’s method. It is a vocabulary so that a participant can look at one object — the market — and not confuse the parts.